

4.

CASE #	CASE NAME	HEARING NAME
CVRI2601445	BERNAL VS REEL FATHERS RIGHTS APC	MOTION TO COMPEL ARBITRATION

Tentative Ruling: PROOF OF SERVICE: Proper

GRANT, Defendant's request for judicial notice as to the existence of the document but not as to the truthfulness of its contents or the proper interpretation of the document. (*Fremont Indem. Co. v. Fremont Gen. Corp.* (2007) 148 Cal.App.4th 97, 113.)

DENY, the motion as there is evidence of both procedural and substantive unconscionability. For this reason alone, the motion must be denied.

This is an employment law case. Plaintiff Bryan Bernal worked for Defendant Reel Fathers Rights APC, a family law firm, as a legal secretary and paralegal. Plaintiff alleges various Labor Code violations, like failure to provide rest and meal periods, as well as harassment claims.

Defendant brings the instant motion to compel arbitration based on a Mutual Agreement to Mediate and Arbitrate that Plaintiff signed while employed by Defendant. The Agreement first requires the parties to work through any issues informally with management of the company. Then, if that is unsuccessful, the parties agree to submit their claims to mediation. Finally, "[i]f the parties are unsuccessful in resolving the matter through mediation, then Employer and Employee hereby agree to arbitrate any and all claims covered by this Agreement and that such arbitration shall be the sole and exclusive remedy for resolving any and all such claims or disputes." (Reel Decl. Ex. A ¶1.) The Agreement specifically states it covers claims arising out of anti-harassment statutes, claims for wrongful termination, wage and hour claims under the California Labor Code, and any other common law tort claims. (Ibid.)

Defendant notes the original agreement Plaintiff signed inadvertently did not include the arbitration's governing rules, so Defendant updated its agreement and delivered the updated agreement to all employees, including Plaintiff. Plaintiff was sent an email that said: "in accordance with a newly added clause, the arbitration agreement will become binding and enforceable seven days after you receive it, even in the absence of a signature." Plaintiff viewed the email but did not sign the updated agreement. (Hemsley Decl. ¶¶7-8, Ex. D at p. 53.)

Defendant asks the court to compel Plaintiff to arbitrate his individual claims, while separating out Plaintiff's non-individual claims. Defendant argues that the agreement is valid, enforceable, and not unconscionable.

Plaintiff opposes the motion. Plaintiff first argues the court and not the arbitrator should decide enforceability. Second, Plaintiff argues the agreement is procedurally unconscionable for two reasons. Third, Plaintiff argues the agreement is substantively unconscionable for six independent reasons. Finally, Plaintiff argues the agreement cannot be saved by severance.

Defendant's Reply argues Plaintiff admits the agreement is valid and enforceable. Defendant argues Plaintiff's unconscionability arguments fail.

Upon the motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.)

"In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability . . . Parties may submit declarations when factual issues are tendered with a motion to compel arbitration." (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Defendant asks the court to take judicial notice of the court's April 2, 2026, ruling in another case – CVRI 2506443. Specifically, Judge Ottolia granted Defendant's motion to compel arbitration in another matter against another employee.² While the court can take judicial notice of this ruling as it is a court record and subject to judicial notice under Evidence Code §452(d), the court cannot take judicial notice of the truth of the contents therein. Accordingly, Defendant's request for judicial notice as to the existence of the document is granted but not as to the truthfulness of its contents or the proper interpretation of the document. (*Fremont Indem. Co. v. Fremont Gen. Corp.* (2007) 148 Cal.App.4th 97, 113.)

Both the Federal Arbitration Act ("FAA")³ and the California Arbitration Act require the existence of a valid arbitration agreement, before arbitration can be compelled. (See

² The arbitration agreement in this case is essentially the same as the arbitration agreement in the other matter. While Judge Ottolia granted the motion in another case, the Plaintiff, in the other case, may not have made similar arguments concerning substantive unconscionability or other issues that Plaintiff makes in this case.

³ Defendant argues that the FAA applies because the agreement arose in the context of an employment relationship and specifically states that the FAA applies. (Motion, p. 14:5-10.) The FAA generally governs arbitration in written contracts involving interstate commerce and authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract. (9 U.S.C. §2.) The FAA also applies when an arbitration agreement expressly states that it is governed by the FAA. (*Aviation Data, Inc. v. Am. Express Travel Related Servs. Co., Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535; *Victrola* 89,

9 U.S.C. §2 and Code Civ. Proc., §1281.2) The party seeking to compel arbitration has the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (CCP § 1281.2; *Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.) California Rules of Court, Rule 3.1330 provides that a party seeking to compel arbitration must attach a copy of the agreement to the petition or the petition must set forth the provisions of the agreement. The moving party needs only to allege the existence of an agreement, and once they have done so the burden shifts to the responding party to prove the falsity of the purported agreement. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219.)

In the present case, Defendant attaches a copy of the arbitration agreement to its motion and properly authenticates the agreement. (Reel Decl. at ¶ 5, Ex. A.) Defendant has met its burden of establishing an arbitration agreement exists. (See, *Condee, supra*, 88 Cal.App.4th at 218–19.) The burden then shifts to Plaintiff to offer admissible evidence to challenge the authenticity of the agreements. (*Ivere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.) Plaintiff does not challenge the existence of the agreement. Accordingly, Defendant has established that an arbitration between the parties to arbitrate the present claims exists.

Plaintiff argues the arbitration agreement is both procedurally and substantively unconscionable and, as a result, cannot be enforced. If an arbitration agreement satisfies the minimum requirements for validity, as here, it must be enforced unless the party opposing enforcement can prove that the agreement is both procedurally and substantively unconscionable. (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243; *Armendariz, supra*, 24 Cal.4th at 94.) Plaintiff, as the party opposing arbitration, bears the burden of proving unconscionability. (*Szetela v. Discover Bank* (2002) 97 Cal.App.4th 1094, 1099.)

“The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Little v. Auto Stiegler, Inc.* (2001) 29 Cal.4th 1064, 1071 [internal quotation & quotation marks omitted].) “Substantive unconscionable terms may take various forms but may generally be described as unfairly one-sided.” (*Id.* at 1071–72.) “[P]rocedural and substantive unconscionability must *both* be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (*Armendariz, supra*, 24 Cal.4th at 114 [internal quotation omitted] [italics in original].)

In an unconscionability analysis, “a sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal.App.4th 76, 91.) “In other words, the more substantively oppressive the contract term, the less

LLC v. Jaman Properties 8 LLC (2020) 46 Cal.App.5th 337, 355.) As the agreement states that “[e]mployee and employer acknowledge and agree that the arbitration and this Agreement shall be controlled and governed by the Federal Arbitration Act,” the FAA applies. (Reel Decl. Ex. A at ¶ 5.) As the application of the FAA is not relevant to the issues involved in this motion, it will not be discussed further.

evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114.) “Although both elements must be present before a contract or contract provision is rendered unenforceable on grounds of unconscionability, they are reviewed in tandem such that ‘the greater the degree of substantive unconscionability, the less the degree of procedural unconscionability that is required to annul the contract or clause.’” (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.)

Procedural unconscionability is generally satisfied if the contract was an adhesion contract. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1280-1281, fn. 11.) A contract of adhesion is a standardized contract that relegates the individual with less bargaining strength to either accept the terms as is, with no opportunity to negotiate or to reject the agreement. (*Armendariz, supra*, 24 Cal.4th at 113.) The adhesive nature of a contract establishes some degree of procedural unconscionability. (*Sanchez, supra*, 61 Cal.4th at 915.) Such contracts in the employment context, in which employees may feel significant economic pressure to agree to the arbitration requirement, show some degree of procedural unconscionability. (*Carmona, supra*, 226 Cal.App.4th at 84.)

Plaintiff argues the agreement is procedurally unconscionable for two reasons. First, Plaintiff argues the agreement is adhesive and did not provide any opt-out provision or negotiation mechanism. Defendant’s motion makes clear the initial arbitration agreement was presented to Plaintiff in June 2024 when Defendant updated its agreement and required all employees to sign the newest version. (Reel Decl. ¶5.) All employees were required to sign the agreement as a condition of continued employment. (*ibid.*) This demonstrates a degree of procedural unconscionability. (*OTTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 [an arbitration agreement required as a condition of employment is adhesive].)

Plaintiff also argues the agreement’s concealment of the applicable rules constitutes egregious procedural unconscionability. Plaintiff references the fact that the initial arbitration agreement he signed indicated arbitration was to be governed pursuant to the Model Rules for Arbitration of Employment Disputes of Judicate West. (Reel Decl. Ex. A at ¶5(g).) The agreement indicated the rules were attached to the agreement, but that was not the case. (Hemsley Decl. ¶¶5-6, Ex. C.) However, the failure to attach the arbitration rules, without more, is insufficient to show unconscionability. (*Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1472; *Lane v. Francis Capital Management, LLC* (2014) 224 Cal.App.4th 676, 690.) Additionally, Defendant seems to have rectified this issue by updating its arbitration agreement and sending out the updated version to employees in September 2024. (Hemsley Decl. ¶¶5-6, Ex. C.)

Even with established procedural unconscionability, Plaintiff still must establish substantive unconscionability to defeat the instant motion. (*McManus, supra*, 109 Cal.App.4th at 91.)

Substantive unconscionability refers to terms that may be described as unfairly harsh or one-sided. (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071.) “A

contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience.” (*Pinnacle Museum Tower v. Pinnacle Market Development* (2012) 55 Cal. 4th 223, 246.)

In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) “[I]t is unfairly one-sided for an employer with superior bargaining power to impose arbitration on the employee as plaintiff but not to accept such limitations when it seeks to prosecute a claim against the employee, without at least some reasonable justification for such one-sidedness based on ‘business realities.’” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 117.)

Specifically, an arbitration agreement that requires an employee to arbitrate any and all claims against the employer or its officers, trustees, administrators, employees or agents, in their capacity as such of otherwise, but does not require these people to arbitrate claims against the employee is not sufficiently mutual. (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 326.) While a nonsignatory may enforce an arbitration agreement against a party to the agreement as a third-party beneficiary, the party would not be able to enforce the agreement against the agents and employees without showing that they actually accepted a benefit under the agreement. (*Id.* at 328.)

Plaintiff argues the agreement is substantively unconscionable in six ways.

First, Plaintiff argues the agreement’s indefinite nature and unilateral modification provision make it oppressive and illusory. Generally, “[a] contract is unenforceable as illusory when one of the parties has the unfettered or arbitrary right to modify or terminate the agreement or assumes no obligations thereunder.” (*Harris v. Tap Worldwide, LLC* (2016) 248 Cal.App.4th 373, 385; see also, *Peleg v. Neiman Marcus Group, Inc.* (2012) 204 Cal.App.4th 1425, 1465.) The Agreement states: “This Agreement can be modified only by a written document signed by the Clinical Director of the Company and Employee; *provided however*, Employer may amend or modify this Agreement at any time upon written notice to Employee in order to comply with the law and/or for other legitimate business reasons.” (Reel Decl., Ex. A at ¶ 14.)

However, as the court in *Peleg* noted, “... a unilateral modification provision that is silent as to whether contract changes apply to claims, accrued or known, is impliedly restricted by the covenant so that changes do not apply to such claims.” (*Peleg, supra*, 204 Cal.App.4th at 1465.) Furthermore, after *Peleg*, California courts consistently reason that the covenant of good faith “prevents [a party] from modifying an arbitration agreement once a claim has accrued or become known to it.” (*Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1474; *Cobb v. Ironwood County Club* (2015) 233 Cal.App.4th 960, 965-966; *Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 61.) The unilateral modification provision in this case is silent as to whether it applies to claims, accrued or known, meaning the covenant of good faith applies. The arbitration agreement is not illusory or unconscionable on this basis.

Plaintiff also argues that the arbitration agreement is unconscionable because it lacks a temporal limitation, citing *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312. In *Cook, supra*, the court found that the arbitration agreement at issue was unconscionable for several reasons, including a lack of mutuality because it required the employee to arbitrate all claims against employer and its agents, etc. without giving the employee the same right; it required the employee to arbitrate claims completely unrelated to his employment; it survived the term of the employee's employment; and it could only be terminated by the employer. (*Cook, supra*, 102 Cal.App.5th at 321, 325-326, 328.)

Here, the arbitration agreement states that it applies to disputes arising out of Plaintiff's employment with Defendant and there is no lack of mutuality. (Reel Decl., Ex. A at ¶ 1.) Furthermore, while it does not provide a specific end date, since it only applies to employment related claims, it clearly ends when the statute of limitations on any employment claims ends. Thus, it is not indefinite. The agreement is not unconscionable on this basis.

Second, Plaintiff argues the private notice and mediation machinery creates a claims forfeiture trap. Plaintiff notes the agreement requires informal management resolution, mandatory mediation, a written mediation demand with factual details, then a separate notice of intent to arbitrate. (Reel Decl. Ex. A. ¶4.) Plaintiff contends failure to follow this procedure waives an employee's right to assert claims at all but does not cite to any corresponding language in the agreement. Plaintiff references *Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1282, where the Court of Appeal found an employment agreement that required Plaintiff to submit to discussions with his supervisors in advance of, and as a condition precedent to, resolving his dispute through arbitration was substantively unconscionable. The court noted this provision was concerning because defendant would receive a "free peek" at plaintiff's case before the matter was submitted to arbitration, which would give the employer an advantage. (Id. at 1282-1283.) The same concern exists here. Plaintiff was first required to work directly with management to resolve his claims informally and then submit to mediation before even getting to arbitration. This necessarily would give Defendant a look into Plaintiff's claims and the strength of his arguments. This constitutes substantive unconscionability. Defendant argues the agreement does not require Plaintiff to pursue informal resolution or mediation before beginning arbitration since there is no punishment if Plaintiff were to go straight to arbitration. (Reply p.8:1-8.) However, the agreement in this case is very similar to the agreement in *Nyulassy*. Both agreements indicate the employee "shall" first resort to informal methods of resolution before moving on to either mediation (this case) or arbitration (*Nyulassy*). There was no stated "punishment" in the *Nyulassy* agreement for failing to first attempt informal resolution. The court still found it was substantively unconscionable. The same result is appropriate here.

Third, Plaintiff argues the attorney fee clause violates FEHA. Paragraph 6 of the agreement provides: "Each party shall pay its own attorneys' fees. However, if any party prevails on a statutory claim which affords the prevailing party attorneys' fees, the arbitrator shall award reasonable attorneys' fees to the prevailing party." Plaintiff argues this is unlawful as applied to FEHA and other asymmetric fee statutes. The California

Supreme Court has found: “an arbitration agreement imposed as a condition of employment cannot require an employee to pay attorney fees to the employer in the arbitration of a statutory claim, unless the arbitrator finds that the action was frivolous, unreasonable, or groundless when brought, or that the employee continued to litigate after it clearly became so.” (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 508.) Here, the arbitration agreement says the arbitrator “shall award” fees to the prevailing party on statutory claims *that afford the prevailing party attorney fees*. (Reel Decl. Ex. A. ¶6.) Reading the plain language of the agreement, attorney fees will only be awarded to the prevailing party if the statute permits the prevailing party to recover attorney fees. This does not run afoul of FEHA and is different than the fee provision in the arbitration agreement in *Ramirez*. This is not substantively unconscionable.

Fourth, Plaintiff argues the administrative agency monetary relief waiver is unlawful. The paragraph Plaintiff challenges begin by acknowledging the parties understand and agree disputes arising under any law that permits resorting to an administrative agency may be brought before that agency as permitted by law. This applies to agencies like the National Labor Relations Board, the Equal Employment Opportunity Commission, the California Civil Rights Department, the United States Department of Labor, the California Workers’ Compensation Appeals Board, the California Employment Development Department, and the California Division of Labor Standards Enforcement. Then, the agreement states once the parties have exhausted administrative remedies through the applicable agency, the parties must pursue any claims through the arbitration procedure set forth in the agreement. The final line in the paragraph is what Plaintiff objects to: “Employee understands and agrees that Employee cannot obtain any monetary relief or recovery from any such proceeding.”

Plaintiff argues “[p]rivate arbitration agreements cannot strip public agencies of their statutory authority to obtain victim-specific monetary relief.” (Opp. p.8:25-26.) Defendant argues the agreement appropriately restricts Plaintiff’s ability to obtain double monetary recovery – once with the administrative agency and again in arbitration. Plaintiff relies on *EEOC v. Waffle House, Inc.* (2002) 534 US 279, 297: “The only issue before this Court is whether the fact that [employee] has signed a mandatory arbitration agreement limits the remedies available to the EEOC. The text of the relevant statutes provides a clear answer to that question. They do not authorize the courts to balance the competing policies of the ADA and the FAA or to second-guess the agency’s judgment concerning which of the remedies authorized by law that it shall seek in any given case.” The Supreme Court also noted any relief the employee may have obtained by litigating their case would be limited from obtaining individual relief in a subsequent EEOC action based on the same claims. (Id. at 296-297, citing *EEOC v. US Steel Corp.* (1990) 921 F.2d 489, 495.)

Defendants’ argument in support of this provision is not persuasive. Defendant has not provided any legal authority to support completely limiting an employee who signed a private arbitration agreement from any monetary recovery in an administrative agency proceeding. This provision is substantively unconscionable.

Fifth, Plaintiff contends the “employer” definition grants on way benefits to nonparties and affiliates. The agreement defines “employer” to include “present or

former owner, officer, director, employee, board member, manager and/or supervisor, benefit plan administrator, sponsor, and/or fiduciary in their capacity as benefit plan administrators or as individuals acting on behalf of Employer and/or any other authorized agent of Employer.” The term is further defined to include “any parent, subsidiary, affiliate and/or successor of Employer and any of their owners, officers, directors, board members, employees, managers, supervisors or agents.” (Reel Decl. Ex. A ¶2.) Plaintiff argues this definition is overbroad. Plaintiff contends the agreement does not impose the same obligation on every affiliate, successor, owner, officer, agent, and benefit-plan actor to arbitrate its own claims against Plaintiff. Thus, the agreement is one-sided.

This argument is not persuasive. The agreement says the Employer and Employee agree to arbitrate their claims. All persons and entities that fall under the definition of “employer” would also have to arbitrate their claims against Plaintiff. This is not evidence of substantive unconscionability.

Finally, Plaintiff argues that the class, collective, and representative waiver is overbroad. Defendant notes its motion expressly acknowledged that California law prohibits compelling arbitration of non-individual representative PAGA claims so the motion only seeks to compel Plaintiff’s individual claims. This is not unconscionable.

Ultimately, there is evidence of both procedural and substantive unconscionability. For this reason, the motion must be denied.